



France: The Budget Now Runs Through Le Pen

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Key Points

- Whether Lecornu survives and France has a budget by year-end is now in the hands of Marine Le Pen's National Rally (RN), which will present their counter-budget tomorrow; they are expected to promise €125 billion in savings over five years as well as a deficit

cap for 2027, but will draw the line at below inflation pension indexation.

- The current government draft budget takes public debt to a record 121.7% of GDP and the interest bill above €90 billion, and the political calendar between now and mid-December offers a string of flashpoints with no obvious stabilizer, in a presidential race that Le Pen still leads in every single poll.
- Emmanuel Macron is trying to lock in the EU's next seven-year budget and the succession at the European Central Bank (ECB) before he leaves office, but the RN's pledge to halve France's net EU contribution makes any deal signed before May 2027 provisional.

What Has Changed Since September 14

Our September 14 note "*France: Lecornu Will Survive, His Budget Will Not*" said that the 2027 budget would be a placeholder, that the 4.9% deficit target floated in August would not survive the return from vacation, and that the savings would come almost entirely from spending with no general tax increase. All three held. The deficit target landed at 5.0%, the budget bill raises no general taxes, and Lecornu is still in office. That said, the Socialists have moved from possibly censuring the government over the budget to almost definitely doing so, and the bond markets have added significant pressure over the past few weeks, forcing Lecornu to find additional savings. Here is where things are right now:

- **The 2027 Budget.** Lecornu presented his draft on October 1: €43 billion of new measures, or €54 billion counting savings already in the pipeline, to cut the deficit from 5.4% of GDP this year to 5.0% in 2027, with no general tax increase. Pensions above €1,260 a month will be indexed below inflation and civil service pay will be frozen. Even so, debt rises from 119.3% to 121.7% of GDP, interest costs climb from €79 billion to €91 billion, and the whole exercise assumes a rosy 1% growth next year, double this year's 0.5%.
- **France's Referees.** Scope Ratings downgraded France last week, and ECB President Christine Lagarde, herself a former French finance minister, told *La Croix* on September 30 that debt approaching 120% of GDP with no clear path to control it is a serious problem, adding that the pension system cannot carry on as it is. The gap between French and German ten-year yields has since passed 140 basis points, the widest since the height of the euro crisis in 2012. France now has the most expensive sovereign debt of the entire Eurozone.
- **The French Street.** Eight public sector unions went on strike on September 29 against the pay freeze, with more than 170 rallies and the first strike at the public employment

agency France Travail since 2018. High school protests have been rapidly spreading and calls are circulating for nationwide demonstrations against fuel prices on October 17. For now this is still sectoral anger rather than a national movement, but don't forget that fuel prices are what eventually turned the Yellow Vests from an online petition into a national crisis in the fall of 2018.

Digging Deeper – Why Le Pen Now Crucial to the Budget

Lecornu's survival has always depended on one of the two large opposition blocs standing aside. What has changed is which one.

- ***The Socialists Have Walked Away.*** A Socialist abstention from censure now looks unlikely. All four left-wing group leaders are now on the record that they would vote to censure. Socialist Assembly leader Boris Vallaud said that he saw no “outstretched hand” in Lecornu’s letter to his deputies, and on October 2 he, Senate leader Patrick Kanner and deputy party leader Johanna Rolland wrote that the budget was “not acceptable” as it stands. Their asks, a *lettre rectificative* (a formal rewrite of the bill by the government itself) and more tax on high incomes, are ones Lecornu simply cannot meet without losing the center-right.
- ***Lecornu Has Changed the Arithmetic.*** On September 17 the PM promised to use neither the 49.3 (the article that lets a government pass a bill without a vote, at the price of a no-confidence motion) nor *ordonnances* (bringing the budget into force by decree once parliament’s seventy days have run out), provided there is no “obstruction,” a warning aimed at Jean-Luc Mélenchon’s far-left “France Unbowed” party. The escape clause is wide, but an actual vote changes who matters. Abstentions do not count, so the RN standing aside is enough to pass the budget against the entire left, while bringing the government down still requires the RN and the whole left to vote together.
- ***Marine Le Pen Wants a Budget She Can Rewrite.*** She told RN deputies in mid-September that an “imperfect, operational” budget before the election was preferable to a *loi spéciale* (the stopgap law that rolls over last year’s taxes), because the RN could amend it once in power. But later she said she ruled nothing out, and her deputies say they will judge the text on its merits. We read this as price-setting, but not as an empty threat: in December 2024 she brought down Michel Barnier, with French spreads at what were then their widest since 2012, after he had already met two of her demands and refused a third on pension indexation. The difference now is that the election is six months away and the budget is one she expects to inherit, and she does not need to vote for it, only to abstain or stay off a censure motion. While the RN is leaning towards non-censure, what makes it hard to predict is that Marine Le Pen tends to decide and her party tends to follow. Lecornu insists there will be no negotiation with the RN, but

amendments adopted on the floor do not require one, and we expect pension indexation, the same issue that sank Barnier, to be where the RN drives a hard bargain.

The Flashpoints Ahead

The next three weeks bring four events that will shape the budget fight before the decisive votes, and none of them is likely to calm things down:

- **National Rally's Counter-Budget (October 6).** Le Pen will present the RN's alternative budget at a press conference tomorrow at 10am, with Jordan Bardella expected to present it and Jean-Philippe Tanguy to handle the numbers. Pre-briefings point to €125 billion of savings over a five-year term, from closing state agencies, cutting immigration-related spending, fighting tax and social fraud, and unilaterally reducing France's EU contribution, alongside cuts to production taxes and a referendum on a constitutional "golden rule" that would cap the deficit until debt is durably below 60% of GDP. Last year's counter-budget claimed €36 billion of savings for 2026, roughly a third of it from immigration, and was widely judged not credible. The totals matter less than the red lines. Tanguy has already called a pension freeze one, and Lecornu's draft indexes pensions above €1,260 a month below inflation, which the RN is likely to treat as a freeze.
- **The Social Democratic Primary (October 9–10 and 16–17).** Raphaël Glucksmann is the favorite against Olivier Faure, Ségolène Royal, and two others, with Boris Vallaud in his camp. The winner will set the Socialists' budget line, and a "presidential" candidate who wants to be taken seriously on the debt has little interest in owning a December fiscal crisis.
- **The First Days in the Assembly (October 7 and 13).** The bill goes to the Assembly's finance committee on Wednesday and then on to the full chamber on October 13. The first test of Lecornu's pledge comes on the floor, and it is whether Jean-Luc Mélenchon and France Unbowed flood the chamber with amendments, which would give him the "obstruction" he needs to reach for the 49.3, and give the RN and the Socialists a pretext of their own.
- **Moody's (October 23).** Moody's rates France Aa3 with a negative outlook, and its scheduled review is expected to drop in the middle of the budget's first reading. A downgrade would hand Lecornu his best argument for passing it and add pressure on RN to explain where they stand.

The Presidential Election Is Now About the Debt

Le Pen takes 33–35% in the first round in every *OpinionWay* scenario tested in September, with Mélenchon on 16–17%, and *Harris Interactive's* September 28 runoff tests have her beating Édouard Philippe 57–43 and Mélenchon 69–31. The scenario that has drawn attention since our last note is a Le Pen–Mélenchon runoff, which becomes possible if Philippe and Gabriel Attal keep splitting the center. We still see a Le Pen–centrist runoff as more likely, but the center's failure to consolidate is now the single largest variable in the presidential race.

The RN is trying to look serious but will not abandon pensioners. Jordan Bardella warned in August that Mélenchon's plan to cancel the debt held by the Banque de France could make investors fear the same treatment for private creditors, and Le Pen's slight preference for passing Lecornu's budget fits the same mold. Tomorrow's counter-budget is the RN's most detailed attempt yet to explain how it would stabilize a debt ratio that, on the government's own numbers, only stops rising once the deficit is back to 3%, a target now pushed to 2029.

Mélenchon keeps cancellation at the center of his campaign, and Lagarde again called it financially very dangerous last week. In September we flagged the risk of a softer RN version by spring. So far the RN has moved the other way, and we would now treat a Le Pen embrace of the idea as less likely.

Europe Is Racing Against the Clock

The French election is also running into Europe's own calendar. Macron's instinct is to settle as much as he can before May, while the RN's is to make anything settled before May look illegitimate.

- **The EU Budget.** The Irish Council presidency will put its first figures to EU ministers on October 13, ahead of the leaders' summit on October 15, with the aim of a deal by year-end. Paris says that without substantial new "own resources" (revenue raised at EU level) deadlock is guaranteed, while Germany, the Netherlands, and Sweden want a smaller budget focused on new priorities. Bardella has pledged to halve France's €12–15 billion net contribution — a cut the counter-budget is expected to make unilaterally — and accuses Brussels of trying to lock the budget in before a change of majority. Right now, we do not expect a deal before the French election, and any deal Macron signs would face a French government with every incentive to reopen it and unanimity rules that make that painful for everyone else.
- **The ECB.** *Reuters* reported on September 15 that Paris would back Klaas Knot, the former Dutch central bank governor, to succeed Lagarde if a French candidate became chief economist, and Lagarde has said she could leave a few months before her term ends in October 2027. An early handover means Macron, not his successor, shapes the ECB leadership that would face any French fiscal crisis. We expect the RN to make this

a campaign issue.

- **The Fiscal Rules.** France has been under the EU's excessive deficit procedure since July 2024, and the medium-term plan it agreed with Brussels put the 2027 deficit at 4.1%, against 5.0% in the draft. We expect the European Commission to note the gap in its November opinion and do little else before May, since nobody in their right mind in Brussels wants to hand Le Pen a campaign against EU austerity.

How This Could All Play Out

We see three ways the autumn ends. The first is slightly more likely than the other two, but the gap has narrowed enough that clients should not plan around it.

1. **The RN Stands Aside.** Le Pen extracts a visible concession, most likely on pensions, and abstains or stays off the censure motions. The budget passes in December, but only after weeks in which every RN statement is read as a signal, and with a text the next president has already promised to rewrite. Tomorrow's counter-budget is the first place to look for what that concession, if any, will be.
2. **An RN Hardening.** A Le Pen statement tying the RN's votes to a demand Lecornu cannot meet would bring the government down with the left's votes, as could Lecornu invoking "obstruction" to reach for the 49.3 before the RN has anything to show for its restraint. Lecornu would then face ordonnances, which no government has used since 1958, or a third loi spéciale, and Macron the choice between yet another prime minister and another dissolution.
3. **A Crisis That Removes the Deal.** A sharp deterioration in France's borrowing conditions cuts both ways. It raises the cost to Le Pen of being the one who brings the government down, but it also leaves Lecornu unable to pay her price, since reversing the pension savings would read as abandoning the budget at the worst moment. A crisis in which he cannot concede on pensions is the scenario in which we would expect censure, and the one clients should be most prepared for.

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